stockpickers who dominate the show, and like the 50,000 Frenchmen, they can't possibly be wrong.

From where I sit, I'd say that the 50,000 stockpickers are usually right, but only for the last 20 percent of a typical stock move. It's that last 20 percent that Wall Street studies for, clamors for, and then lines up for—all the while with a sharp eye on the exits. The idea is to make a quick gain and then stampede out the door.

Small investors don't have to fight this mob. They can calmly walk in the entrance when there's a crowd at the exit, and walk out the exit when there's a crowd at the entrance. Here's a short list of stocks that were the favorites of large institutions in mid-1987 but sold at sharply lower prices ten months later, in spite of higher earnings, exciting prospects, and good cash flows. The companies hadn't changed, but the institutions had lost interest: Automatic Data Processing, Coca-Cola, Dunkin' Donuts, General Electric, Genuine Parts, Philip Morris, Primerica, Rite Aid, Squibb, and Waste Management.

I've been hearing that the 200-million share day is a great improvement over the 100-million share day, and there's great advantage in a liquid market.

But not if you're drowning in it—and we are. Last year 87 percent of all the shares listed on the NYSE changed owners at least once. In the early 1960s a six- to seven-million-share trading day was normal, and the turnover rate in stocks was 12 percent a year. In the 1970s a forty-to sixty-million-share day was normal, and in the 1980s it became 100–120 million shares. Now if we don't have 150-million-share days, people think something is wrong. I know I do my part to contribute to the cause, because I buy and sell every day. But my biggest winners continue to be stocks I've held for three and even four years.

The rapid and wholesale turnover has been accelerated by the popular index funds, which buy and sell billions of shares without regard to the individual characteristics of the companies involved, and also by the "switch funds," which enable investors to pull out of stocks and into cash, or out of cash and into stocks, without delay or penalty.

Soon enough we'll have a 100 percent annual turnover in stocks. If it's Tuesday, then I must own General Motors! How do these poor companies keep up with where to send the annual reports? A new book called *What's Wrong with Wall Street* reports that we spend $25 to $30 billion annually to maintain the various exchanges and pay the commissions and fees for trading stocks, futures, and options. That means we spend as much money on passing old shares back and forth as we raise for new issues. After all, the raising of money for new ventures is the reason we have stocks in the first place. And when the trading is finished, come every December, the big portfolios of 50,000 stockpickers look about the same as they did the previous January.